Aircraft Purchase Financial Guide: Q&A Reference Manual

Q: What is the difference between fixed and variable aircraft operating costs?

A: Fixed costs are incurred regardless of whether the aircraft flies (e.g., hangar lease, annual insurance, scheduled calendar inspections). Variable costs depend directly on flight hours (e.g., aviation fuel, hourly engine maintenance reserves, oil, landing fees).

Q: What are engine overhaul reserves, and how are they calculated?

A: Engines have a recommended Time Between Overhauls (TBO). Owners calculate reserves by dividing the projected cost of an engine overhaul by the remaining hours until TBO, ensuring cash is systematically accumulated for this major expense.

Q: What financing structures exist for corporate or private aircraft?

A: Aircraft financing options include conventional asset-backed bank loans, operating leases, capital leases, and fractional ownership programs. Terms typically range from 15 to 20 years with a 15% to 25% down payment obligation.

Q: How do hull and liability insurance differ in aviation?

A: Hull insurance covers physical damage to the aircraft itself, calculated based on an agreed value or actual cash value. Liability insurance covers third-party bodily injury and property damage resulting from aircraft operations.

Q: Can an aircraft purchase be written off using bonus depreciation?

A: Under tax laws like the U.S. TCJA, aircraft used strictly for legitimate business purposes (more than 50% qualified business use) may be eligible for accelerated or bonus depreciation, allowing substantial tax write-offs against corporate income.